DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

High Performance Work Systems and the Round 6 Brief

Week 10 · Lecture 3 · Unit IV · Pfeffer's practices, the AMO framework, causality debates, team based PM and Round 6

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L3 · COMMIT BEFORE THEORY

Firms that adopt high performance practices become more profitable.

Agree or disagree. Could the arrow run the other way?

L3 · PFEFFER'S PRACTICES

Seven practices of successful organizations

PRACTICE	MECHANISM
Employment security	Commitment and willingness to improve
Selective hiring	Ability and fit
Self managed teams, decentralization	Opportunity and ownership
High pay contingent on performance	Motivation
Extensive training	Ability
Reduced status differences	Trust and voice
Sharing information	Line of sight

Pfeffer (1998)

Do HPWS pay?

HUSELID (1995)

Early evidence

High performance practices related to lower turnover and higher productivity and financial performance.

COMBS ET AL. (2006)

Meta analysis

An average correlation of about 0.20 with performance; systems mattered more than single practices.

Ability, motivation, opportunity

BUNDLE	EXAMPLE PRACTICES	ROUTE TO PERFORMANCE
Skill enhancing	Selection, training	Human capital
Motivation enhancing	Pay, appraisal, careers	Effort and commitment
Opportunity enhancing	Teams, voice, information	Discretionary contribution

Appelbaum et al. (2000); Jiang et al. (2012)

Wright and colleagues (2005)

Finding

HR practices correlated as strongly with past performance as with future performance.

Implication

Successful firms may adopt HPWS because they can afford to, not only the reverse.

The problem of the hidden contributor

LATANÉ, WILLIAMS AND HARKINS (1979)

Social loafing

People exert less effort when individual contributions cannot be identified.

Design response

Combine team goals with identifiable individual contribution, as your peer evaluation does.

L3 · ROUND 6 BRIEF

Performance culture and the Board Memo

1 **Commit**
Three fields: a Performance Culture Statement, a Forward Priority, and a Justification. No option menu, nothing deducted.

2 **Diagnose**
Name the culture center of gravity: Accountability and Alignment, Development and Growth, Trust and Autonomy, or Balanced and Sustainable.

3 **Write**
The 1,500 word Board Memo is Deliverable 2, written in the portal.

REFERENCES

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